CHECK YOUR WORK

Answer key at a glance

SCENARIO	VERDICT	CAP RATE	COC	DSCR	GRM	MAIN REASON
1. Maple Court Ranch	PASS	8.80%	8.82%	1.49x	6.32	All 13 checks pass. Clean, textbook rental.
2. Oakridge Fourplex	PASS	7.98%	8.16%	1.32x	6.52	Passes, but by thin margins on several lines.
3. Birchwood Triplex	FAIL	11.32%	18.78%	1.89x	7.01	Seller's pro forma: 0% vacancy, no CapEx, no management fee.
4. Cedar Park 12	FAIL	7.60%	3.85%	1.17x	6.29	DSCR 1.17x is under the 1.20x lender floor; 3.85% CoC misses the 8% buy box.

How the calculator decides

Overall: any FAIL = **FAIL** ("Doesn't pass yet."). No fails but any CAUTION = **CAUTION**. Every scored check PASS = **PASS**.

CHECK	PASS	CAUTION	FAIL
DSCR	1.25x or higher	1.20x to under 1.25x	**Under 1.20x**
Cash flow (per door / mo)	$100 or more	Positive, under $100	**$0 or negative**
Cash-on-cash	8% or higher	0% to under 8%	**Negative**
Your buy box (if set)	At or above your floor	Never	**Under your floor**
Cap rate	4.5% to 9%	Under 4.5% or over 9%	**Never**
Expense ratio (opex / EGI)	35% to 50%	Under 35% or over 50%	**Never**
Vacancy	5% to 10%	Over 0 and under 5%, or over 10%	**0%**
CapEx (% of gross rent)	5% or more	Under 5%	**$0**
Maintenance (% of gross rent)	5% or more	Under 5%, or $0	**Never**
Management fee	8% or more	Under 8%	**0%**
LTV	80% or less	Over 80%	**Never**
1% rule	Monthly rent at least 1% of price	Under 1%	**Never**
Reserves (if entered)	6+ months of P&I	2 to under 6 months	**Under 2 months**
70% rule (if ARV entered)	Price at or under 70% x ARV minus repairs	Over max offer	**Never**

Optional checks only score when filled in: buy box (minimum cash-on-cash), reserves (cash reserves after closing), 70% rule (after-repair value). Verified against the live calculator on Oct 20, 2026.

SINGLE-FAMILY · 1 UNIT · LIGHT REHAB + RENT

Maple Court Ranch

PASS

Calculator: "It works on paper. Now verify it."

Cap rate	Cash-on-cash	DSCR	GRM
8.80%	8.82%	1.49x	6.32

Key numbers

Gross scheduled income	**$17,400**
Effective gross income	**$16,356**
Total operating expenses	**$6,676**
Operating expense ratio	**40.8%**
Net operating income (NOI)	**$9,680**
Loan amount (LTV 75%)	**$82,500**
Annual debt service	**$6,504 ($542/mo)**
Cash flow before tax	**$3,177 ($265/mo)**
Cash flow per door / mo	**$265**
Cash invested	**$36,000**
1% rule screen	**$1,450/mo vs $1,100**
Total return, year 1	**20.4%**
Reserves covered	**7.4 months**
70% rule max offer	**$114,000**

Scorecard

- PASS DSCR
- PASS Cash flow
- PASS Cash-on-cash
- PASS Cap rate
- PASS Operating expense ratio
- PASS Vacancy
- PASS CapEx reserve
- PASS Maintenance
- PASS Management fee
- PASS LTV
- PASS 1% rule
- PASS Reserves
- PASS 70% rule

Why

- All 13 scored checks PASS.
- DSCR 1.49x clears 1.25x. Cash flow $265/door/mo clears $100. Cash-on-cash 8.82% is inside 8% to 12%.
- Rent $1,450/mo beats the $1,100 1% target. Price $110,000 is under the $114,000 70% rule max offer.

Try it yourself

- **PASS means verify, not buy.** The calculator notes the playbook CapEx standard is $250 to $400/unit/mo; this deal reserves $83. Try it: change **CapEx reserve / yr** to $3,600 ($300/mo). DSCR drops to 1.09x and the verdict flips to FAIL.
- **Judge the stack.** 8.82% cash-on-cash becomes a 20.4% year-1 total return with loan paydown and 3% appreciation.

SMALL MULTIFAMILY | 4 UNITS | BUY AND HOLD

Oakridge Fourplex

PASS

Calculator: “It works on paper. Now verify it.”

Cap rate	Cash-on-cash	DSCR	GRM
7.98%	8.16%	1.32x	6.52

Key numbers

Gross scheduled income	**$46,800**
Effective gross income	**$43,524**
Total operating expenses	**$19,182**
Operating expense ratio	**44.1%**
Net operating income (NOI)	**$24,342**
Loan amount (LTV 80%)	**$244,000**
Annual debt service	**$18,507 ($1,542/mo)**
Cash flow before tax	**$5,835 ($486/mo)**
Cash flow per door / mo	**$122**
Cash invested	**$71,500**
1% rule screen	**$3,900/mo vs $3,050**
Total return, year 1	**24.8%**
Reserves covered	**6.5 months**

Scorecard

- PASS DSCR
- PASS Cash flow
- PASS Cash-on-cash
- PASS Your buy box
- PASS Cap rate
- PASS Operating expense ratio
- PASS Vacancy
- PASS CapEx reserve
- PASS Maintenance
- PASS Management fee
- PASS LTV
- PASS 1% rule
- PASS Reserves

Why

- All 13 scored checks PASS, including the 8% buy box.
- Close on several lines: cash-on-cash 8.16% vs the 8% floor, LTV exactly 80% (the max), reserves 6.5 vs 6 months, $122/door vs $100.

Try it yourself

- **A quarter point decides it.** Try it: change **Interest rate** from 6.5 to 6.75. Cash-on-cash falls to 7.48%, the buy box FAILS, verdict flips to FAIL.
- **Cushion check.** Change **Down payment** to 19%: LTV goes to 81% and turns CAUTION. How much room for error does this deal really have?

SMALL MULTIFAMILY | 3 UNITS | BUY AND HOLD

Birchwood Triplex

FAIL

Calculator: "Doesn't pass yet."

Cap rate	Cash-on-cash	DSCR	GRM
11.32%	18.78%	1.89x	7.01

Key numbers

Gross scheduled income	**$37,800**
Effective gross income	**$37,800**
Total operating expenses	**$7,800**
Operating expense ratio	**20.6%**
Net operating income (NOI)	**$30,000**
Loan amount (LTV 75%)	**$198,750**
Annual debt service	**$15,867 ($1,322/mo)**
Cash flow before tax	**$14,133 ($1,178/mo)**
Cash flow per door / mo	**$393**
Cash invested	**$75,250**
1% rule screen	**$3,150/mo vs $2,650**
Total return, year 1	**32.0%**

Scorecard

- PASS DSCR
- PASS Cash flow
- PASS Cash-on-cash
- CAUTION Cap rate
- CAUTION Operating expense ratio
- FAIL Vacancy
- FAIL CapEx reserve
- CAUTION Maintenance
- FAIL Management fee
- PASS LTV
- PASS 1% rule
- INFO Reserves

Why

- 3 FAILs: Vacancy 0%, CapEx reserve $0, Management fee 0%.
- 3 CAUTIONs point at missing costs: expense ratio 20.6% (under 35%), cap rate 11.32% (over 9%), maintenance 3.2% of rent (under 5%).
- The headline numbers look great (18.78% cash-on-cash, 1.89x DSCR) only because real costs are missing.

Try it yourself

- **Rebuild it honestly.** Change Vacancy to 7, Maintenance to $1,900, CapEx to $1,900, Management to 9. NOI drops from $30,000 to $21,590, cash-on-cash from 18.78% to 7.60%, and the verdict becomes CAUTION.
- **Too good is the warning sign.** Never underwrite from the seller's listing sheet.

APARTMENT BUILDING | 12 UNITS | COMMERCIAL LOAN

Cedar Park 12

FAIL

Calculator: "Doesn't pass yet."

Cap rate	Cash-on-cash	DSCR	GRM
7.60%	3.85%	1.17x	6.29

Key numbers

Gross scheduled income	**$190,800**
Effective gross income	**$177,444**
Total operating expenses	**$86,296**
Operating expense ratio	**48.6%**
Net operating income (NOI)	**$91,148**
Loan amount (LTV 75%)	**$900,000**
Annual debt service	**$78,063 ($6,505/mo)**
Cash flow before tax	**$13,085 ($1,090/mo)**
Cash flow per door / mo	**$91**
Cash invested	**$340,000**
1% rule screen	**$15,900/mo vs $12,000**
Total return, year 1	**18.3%**
Reserves covered	**4.6 months**

Scorecard

- FAIL DSCR
- CAUTION Cash flow
- CAUTION Cash-on-cash
- FAIL Your buy box
- PASS Cap rate
- PASS Operating expense ratio
- PASS Vacancy
- PASS CapEx reserve
- PASS Maintenance
- PASS Management fee
- PASS LTV
- PASS 1% rule
- CAUTION Reserves

Why

- 2 FAILs: DSCR 1.17x (under 1.20x) and the buy box (3.85% vs 8%).
- It still cash flows: $13,085/yr, $91/door/mo (CAUTION). Cap rate 7.60% and the 1% rule both PASS.
- Reserves of $30,000 cover 4.6 months (CAUTION, target 6).

Try it yourself

- **Price fixes the bank, not the buy box.** Try it: change **Purchase price** to $1,100,000 and closing to $36,000. DSCR rises to 1.27x (PASS), but cash-on-cash is 6.30%: still FAIL.
- **Screens are not decisions.** The 1% rule and cap rate say yes; the lender says no. Run all four core metrics.